COPART INC CPRT

April 21, 2026 - 2:37pm EST
by tharp05

			2026	2027
Price:	34.00	EPS	0	0
Shares Out. (in M):	975	P/E	0	0
Market Cap (in $M):	33,153	P/FCF	0	0
Net Debt (in $M):	-5,102	EBIT	0	0
TEV (in $M):	28,051	TEV/EBIT	0	0

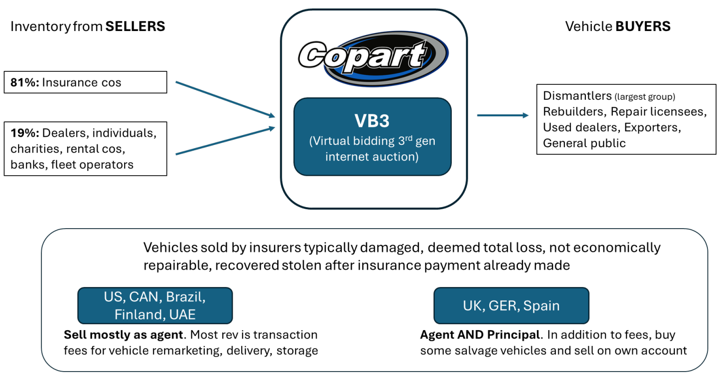
Description

Founded in 1982, Copart is the preeminent global salvage auction platform, characterized by stable high margins and a strong land moat. Shares have declined 40% in the last year due to recent auction volume weakness. With secular bear concerns well-discounted, any sentiment recovery provides the chance to own a traditional value generator at a reasonable price.

If the industry is in permanent decline, CPRT can drastically cut growth capex, improving FCF and potentially realize value from its vast owned land portfolio. There are multiple ways for investors to win alongside founder-based leadership whose wealth is uniquely aligned with shareholders.

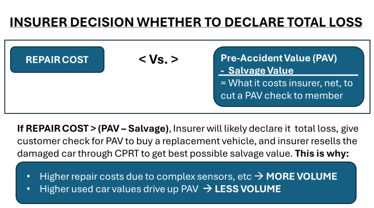
Business model

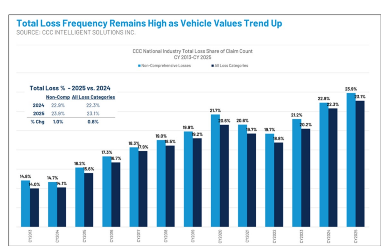
Copart runs an online auction of salvage vehicles, which are mostly sourced from insurance companies whose members had an accident and the vehicle declared totaled. Typically, CPRT will arrange vehicle pickup, towing to its owned storage yards, before presenting for auction.



Most revenue is generated from seller fees, with a small portion from buyer membership. The value proposition to SELLERS is the ability to earn higher returns from damaged vehicles than other disposal methods. This is due to Copart's leading global buyer base and its tools to streamline the process (recovery estimate, title recovery, towing, etc) that reduce waste and improve member experience. The value to BUYERS is a large marketplace of vehicle and parts inventory at cheaper prices than buying from traditional sources.

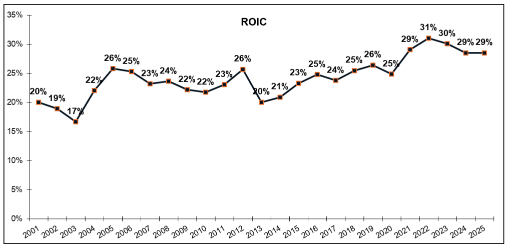
The long-term growth engine is rising total loss frequency (TLF), ie insurer declaring a damaged vehicle total loss, giving the member a check to buy a replacement vehicle instead of repairing it. In this case, the insurer takes ownership of the damaged vehicle and sells through CPRT for maximum possible salvage value.

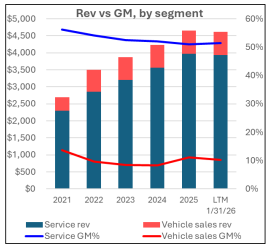




TLF has grown for decades, as 1) repairs take longer and become more expensive, and 2) auction buyer base expands globally, increasing salvage values. These trends should persist.

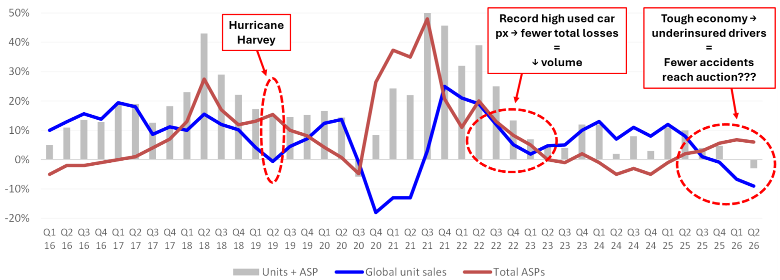
Despite owning ~90% of its storage land and buying aggressively over time, CPRT earns impressive and predictable returns due to its asset-light auction model.





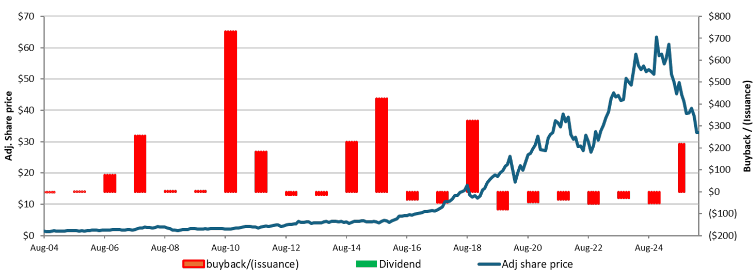
Current situation

Shares have declined ~50% from May25 peak amid fear about long-term volume growth. There have been similar past unit declines, but ASPs had offset volume to support revenue. This is the first multi-quarter revenue slump over the last decade.



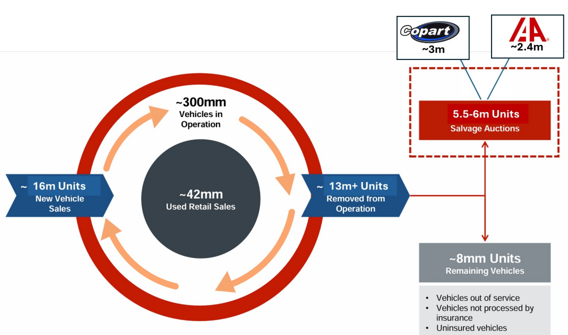
Given the quality of this business, current ~16x EV/EBIT is attractive if volume stabilizes.

Management appears to agree, as they took the uncommon step of repurchasing ~$1.2B equity YTD. This is more compelling than most company buybacks, as founder Willis Johnson still owns 8% of shares, his successor CEO, son-in-law and Executive Chairman Jay Adair owns 2%. Current management's pay is heavily weighted toward long-term options. Historically, this group has decisively repurchased shares when they see opportunity.



Risks

Autonomous vehicles lead to dramatically fewer accidents long-term. This is the key investor concern amid current weakness. While it could happen, the possibility is no greater than a year ago, before volume declines led to a 50% drawdown. In practice, the NA car parc is relatively stable, as illustrated from this updated slide from IAA's June19 NA car parc funnel.



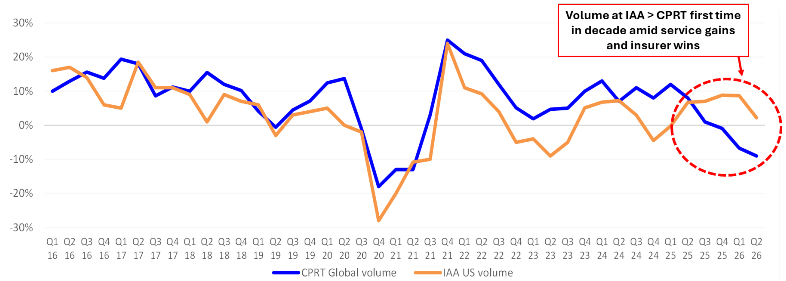
As the 300m cars in operation continue aging, TLF should rise as pre-accident values decline. The 13m+ units coming out of operation annually comprise <5% of the base. Any impact of AV would be negligible at this point. Over time, this could be a risk, but it would likely be many years before AV penetration reached a point where its safety impact outweighs rising TLF.

Market penetrated. Copart has deeply penetrated the NA salvage market with ~50% share. At this size, investors need industry growth, which could be below past trends. International is ~18% of revenue and 25% of vehicles sold. International margins are lower, as more revenue is driven by CPRT selling vehicles for its own account. Though reflected in valuation, Copart's historical market share gains will be tough to repeat, creating a revenue headwind.

Macro weakness. The car parc chart also supports management's hypothesis that weak volume is due to fewer of the 13m cars removed from operation annually going to salvage. This is caused by "underinsurance," as more people choose liability-only to reduce premiums, and is likely temporary as people prefer to insure their vehicles if possible. A steep economic downturn would exacerbate these current headwinds in the interim.

Competition

Salvage industry in NA is a duopoly, with CPRT estimated ~50% auction market share and IAA (subsidiary of RBA) slightly below. Current CPRT risk is fueled by IAA gaining share in recent quarters. Difficult to point to structural reason this should persist aside from RBA being a better IAA steward than standalone (2019-23) or as KAR subsidiary (2011-19).

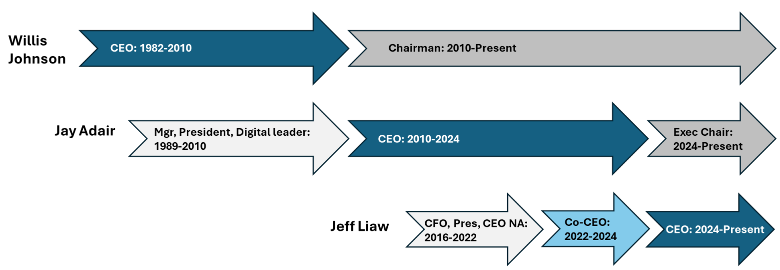


For comparison, RBA acquired IAA for ~13.5x trailing EV/EBITDA in Mar23. Copart, the market leader with a history of superior execution, is now trading at 14x.

In addition to superior execution, scale and geographic diversity, CPRT owns ~90% of its 21k land acres, versus IAA owning ~40% of its 15k. This provides CPRT investors a structurally higher margin and more predictable business over time.

Management / Incentives

Copart is among the most heavily aligned executive teams of a publicly traded company. CEOs have had very long tenures since Johnson's founding in 1982.



Compensation is also instructive. The guaranteed portion is modest, with CEO earning ~$1m base and $1m annual bonus. The long-term award is equity options expiring after 10yrs. Jeff Liaw's last award was in 2022 when promoted to co-CEO. His next eligible award date is 2026. While the variance is large, management's claims of making decisions based on long-term shareholder value are more credible when their wealth is directly aligned.

Options

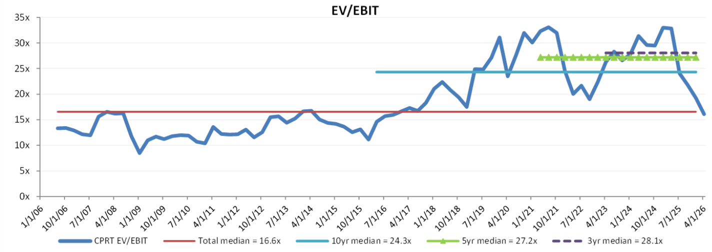
Named Executive Officer	Option Awards: Option Grant Date	Number of Securities Underlying Unexercised Options (#) Exercisable	Number of Securities Underlying Unexercised Options (#) Unexercisable	Equity Incentive Plan Awards: Number of Securities Underlying Unexercised Unearned Options	Option Exercise Price ($)	Option Expiration Date
A. Jayson Adair	6/12/2020	4,000,000(1)	—	—	21.26	6/12/2030
Jeffrey Liaw	10/10/2016	21,332(2)	—	—	6.78	10/10/2026
	10/4/2017	355,557(2)	—	—	8.70	10/4/2027
	3/7/2019	600,000(2)	—	—	14.57	3/7/2029
	3/9/2021	554,664	—	85,336(3)	26.58	3/9/2031
	4/1/2022	1,300,000	—	700,000(4)	31.42	4/1/2032
Leah C. Stearns	12/5/2022	31,000	29,000(5)	—	32.85	12/5/2032
	12/5/2022	155,000	—	145,000(6)	32.85	12/5/2032
	11/24/2023	25,000	50,000(7)	—	50.81	11/24/2033
	11/24/2023	25,000	—	50,000(8)	50.81	11/24/2033

Restricted stock

Named Executive Officer	Stock Awards: Grant Date	Number of Shares or Units of Stock that Have Not Vested	Market Value of Shares or Units of Stock That Have Not Vested ($)(1)
A. Jayson Adair	—	—	—
Jeffrey Liaw	04/01/2022	70,000(2)	3,173,100
Leah C. Stearns	12/05/2022	60,000(3)	2,719,800

Valuation

The last time IAA reportedly gained share from CPRT was 2011-12, and CPRT traded at ~12-16x EV/EBIT. As current valuation approaches these levels, the risk/reward seems decent.



Since 2012, Copart has increased its international presence and improved margins through scale and other efficiencies. A modest sentiment improvement could lead to long-term median 20x multiple or higher. In this scenario, assuming no margin improvement, upside is 20%.

LTM 1/31/26 Revenue	$4,614		
Assumed EBIT margin	36.0%	Curr LTM ebit %	36.5%
EBIT	$1,661	3yr median ebit %	37.1%
		10yr median ebit %	36.8%
MGA legal expenses	0	25yr median ebit %	32.0%
Non-recurring expenses	0		
Adjusted EBIT	$1,661		
Implied normal EBIT margin	36.0%		
EBIT multiple	12.0x	20.0x	28.0x
Resulting value	$19,930	$33,217	$46,504
Net debt	(5,102)	(5,102)	(5,102)
Implied market cap	$25,032	$38,319	$51,606
Share price	$25.67	$39.30	$52.92
Upside from current	-22.2%	19.1%	60.4%

Long-term margin gains are likely, as IAA has been a rational competitor, and insurers have greater economic gains from higher salvage values and efficient processes developed by CPRT than any price concession.

Optionality

Total loss frequency spikes. The interplay between repair costs, salvage values and pre-accident value impact TLF. If for any reason repair costs increase (tariffs drive parts costs, etc), salvage values rise (foreign buyers seek more salvage), or used car prices moderate, TLF will drive volumes and improve sentiment.

Outsized growth in non-insurance. The ~20% of auction supply that is not from insurers is growing faster than the core business as international buyers become an increasingly attractive outlet to dealers and other sellers. As sellers continue to become aware of Copart as a disposal option, this could be a major long-term growth driver.

Acquired/ taken private. No expectation here, but at a certain price, management may prefer to run the business without public input. They already take the long-term approach of a private company, and the cash positive balance sheet and steady FCF generation could be attractive to a sponsor. This seems unlikely, but not impossible.

I do not hold a position with the issuer such as employment, directorship, or consultancy.
I and/or others I advise do not hold a material investment in the issuer's securities.

Catalyst

- There is no obvious catalyst, but there will likely come a quarter where volume turns positive and sentiment improves. This is a function of steadily rising TLF. While management may be optimistic in their growth expectations, investors can take some solace in their being highly aligned with common shareholders' long-term success.

Messages

Subject IAA
Entry 04/21/2026 03:10 PM
Member Fat_Tony

Thanks for the writeup tharp.

There has been a lot of scuttlebutt that insurers are actively trying to mitigate their dependence on CPRT. Plenty of expert calls and even sell-side notes quoting insurers as wanting to migrate share towards IAA. Feedback is that IAA service has massively improved under RBA.

See the short pitch from HonkeyRed here on VIC from 2023. He basically nailed what has subsequently happened.

A decade+ ago, CPRT had ~30% shr vs IAA's ~25%. I believe that's more like 55%/30% today, even after recent CPRT share losses. We hear insurance execs talking about getting CPRT and IAA to parity.

I think the mkt is worried about multi-yr share loss at CPRT. If that's right, we're only in the early innings, with IAA having out-comped CPRT for ~4 quarters now.

IMO, that's why CPRT trades where it does today.

Do you see a reason for CPRT's recent share losses to abate or even reverse?

Subject Vastly understating ADAS risk
Entry 04/21/2026 04:32 PM
Member starfox02

I think you are vastly understating ADAS risk. I've followed and admired CPRT from a distance (never owned) for over a decade, but this is a dead company walking and I believe pointing to historical valuation multiples when the business is facing permanent secular decline (to ~zero) due to ADAS (whether or not we ever reach full autonomy) is, I think, a difficult case. I called Copart a buggy whip manufacturer (or something analogous) on a prior VIC post when it traded at a much higher multiple, and received probably the most downvotes in my history on VIC because CPRT bulls didn't appreciate it... I don't remember when exactly this was, but clearly the stock is down a bunch since then. I'll try it again, with updated data.

I am no Tesla fanboy (I own a good old ICE SUV). However, if you look at Waymo and Tesla FSD data (different approaches - Waymo having much more expensive / LIDAR hardware but only operating in certain areas, Tesla using camera-only but operating in much broader range of environments), you see 5 - 10x type real-world reductions in collisions, with even more meaningful reduction in serious/severe crashes. (Here is an academic study.) It is worth noting that this actually *understates* the safety improvements, as many crashes that these vehicles are involved in are due to other vehicles hitting them. Said differently, if all vehicles were Waymos or Tesla FSD, you would likely need to roughly square the deduction. Of course, these technologies are not perfect (see the recent case of the Tesla FSD deciding to cross an oncoming train), but similar to arguments about AI and coding, *today's ADAS technology is the worst it will ever be.* See (for example) todd1123's writeup on AEVA, and how much better/cheaper LIDAR is getting.

Again, *existing technology, if fully deployed across the car parc,* is already good enough to reduce collisions by 90%+ - this becoming standard is simply a matter of time and economics as existing technology becomes cheaper and filters through the car parc through natural replacement of older vehicles, i.e. if you buy a new Toyota Camry it has vastly more safety tech than a similarly-priced Toyota Camry from 5, 10, let alone 15 years ago. (As for costs, Waymo hardware is way too expensive for mass deployment, but Tesla FSD is fairly affordable). When you then start to think about how much better the hardware will get - as well as the software on top of it (again, see AI progress over the last few years) - being long car collisions clearly doesn't deserve much terminal value assumption.

So far, ADAS improvements have been offset by behavior (such as texting and driving), similar to how some previous safety improvements (e.g. ABS) were offset by more aggressive driving. There's also the increased frequency of total loss (due to more expensive sensors/etc where a minor crash with no injuries can now be much more major from a cost perspective). I believe this dynamic has lulled bulls to sleep because the reality is that if you extrapolate this data out, it's likely that in 30 years, our kids will likely think of major car collisions the same way we think of landline phones or polio/smallpox - a historical curiosity, not an ongoing reality of life. (It's perhaps also worth noting that as AI / tech gets better and better, texting and driving is also likely to stop; there's little reason to pull out your phone and text if you can interact with it via AI and voice through CarPlay or Android Auto.)

CPRT may continue to make money on salvage auto for many years, and as you point out they own land / etc and have some levers to pull. So there may be residual value to the equity. And of course there are modest other reasons for salvage (natural disasters, etc). But this business mostly relies on a phenomenon (car accidents) that are, with a high likelihood, going to go away. You might be right that it's too cheap, but this is clearly now a cigar-butt type investment where you're looking for one last puff vs. a secular compounder.

So I view this one very similarly to the terminal-value debate around AI - I doubt this ever regains its historical multiple and if it did, I think it would be a great short, because there are few more obvious technological trends (to me) than improvements in driving safety - technology can simply process vastly more data than a human brain and react instantaneously, and we don't have to bet on some future state; we simply have to assume existing, proven technology comes down the cost curve and becomes a larger share of the car parc.

Subject Re: Vastly understating ADAS risk
Entry 04/21/2026 09:30 PM

Member tharp05

You may be right. I love Waymo and ride them a lot. Very familiar with the improved safety as a user and have seen the studies. Yet there are still a lot of car accidents in my market with high Waymo penetration. Not sure when the tipping point comes for fewer accidents as Tesla and others enter but my guess is years not quarters, ie long enough for growth to recover at Copart. Think a lot of this is reflected in current share price, but it could certainly go lower from here.

Most cigar butts don't have 35%+ operating margins, clean balance sheets and operate in a rational duopoly. CPRT might not work but it's not some terrible business. I don't think it's a magnificent compounder either but still a decent business that is finally priced as such.

Subject Re: IAA
Entry 04/21/2026 09:52 PM
Member tharp05

Agree the Nov23 short report was well done. To me, a lot of it has played out valuation wise (they assumed a 30x multiple, mid-20s if it really worked--it's now ~20x). Do agree the main risk is multi-yr insurer share losses. Probably could get a little more granular to estimate how long at current rates it would take to get to share parity but have not done that yet.

While mkt share mean reversion will likely continue, it seems bearish that IAA would recover 100% of what it lost as CPRT continues to provide quality service and value. In the meantime, CPRT margins have hung in pretty well (so far) despite decelerating top line.

Subject Re: Re: IAA
Entry 04/22/2026 08:20 AM
Member Fat_Tony

IMO, it's not about how much of the valuation leg played out.

It's about how much of the fundamental thesis is 'done' and how much is still in front of CPRT.

Share parity is still worth a 20-25% hit to CPRT units, even after a year of share losses. If only half of that happens over 5yrs, that's a 2%/yr headwind to CPRT units and a 4%/yr tailwind to IAA units.

Another few yrs of CPRT undergrowth vs IAA would be a v tough setup. The market hates share loss stories.

Anyway, if you are sanguine on ADAS risks, RBA seems a cleaner company. Positive share asymmetry for IAA, not to mention cyclical upside in the half of their biz that isn't IAA (heavy industrial equip auctions). Sure not as cheap, but if you believe the broad cyclical industrial recovery being priced in throughout the market, cheaper than the headlines suggest.

Subject Pushback from Bear Case
Entry 04/23/2026 01:19 PM
Member sethvencen1989

Unlike other commentors, I don't think ADAS is the main unpriced risk and terminal multiple has derated enough to account for that. I've been short CPRT since Nov 2025 on three main factors, which are share loss inertia, poor international expansion prospects, and low reinvestment potential. I think the share loss story is the real concern with IAA SLA performance being equal to CPRT post-acquisition and their relationships with their bigger partners (Progressive in particular) much stronger than Copart's. I've talked to multiple former GEICO and State Farm salvage volume distributors and the entire auto insurance industry is making a pivot towards IAA, as evidenced with Erie flipping a few months ago and State Farm shifting volumes in IL right now. I see no reason why terminal market share should not be 50/50, which is much worse for Copart than current levels. The other two things are the UK failing to be proof-of-concept of CPRT's ability to expand internationally as Spain/Germany auto insurance markets are structurally different than US/UK (insurers never gain ownership of the totaled vehicle), and ROIIC on lots declining over the last few years as CPRT saturates its domestic network.

In my mind this is a 4% domestic grower (half price inclusive of take-rate expansion, half volume) and 5-6% international grower generously before claim frequencies tank from eventual ADAS adoption, which isn't very attractive at current valuation levels.

Subject Re: Pushback from Bear Case
Entry 06/09/2026 12:11 PM
Member costbasis1

Agree with you

From talking to RBA, they think their share can increase from mid- to high-30s today to 50%. Would be a (high-teens %) headwind to Copart's volumes. Until this debate is resolved, hard to see Copart rerate higher.

Additionally, I worry that total loss rates are overearning. From speaking to players in the ecosystem, there's a view that total loss rates have peaked and could normalize lower as used car prices increase. Rising total loss rates may be a structural trend but there may be a cyclical headwind in the interim.

This is still trading at a low-20s NTM FCF multiple (bit lower if you give credit for cash balance) for company with some combination of cyclical and structural headwinds? Think you could see this trade down to high-teens FCF multiple.